

HEDGEYE

Hedgeye Monthly Inflation Nowcast

09/11/25 10:48AM EDT

Headline CPI for August came in at +2.92% y/y, accelerating +22 bps sequentially.

The number registered +2 bp above consensus expectations for +2.90% y/y and inside the upside of our probable range of +2.94% y/y.

The headline acceleration was characterized by:

- The loss of energy's deflationary impulse, with energy commodity prices, notably motor fuel, becoming less deflationary while energy services, both electricity and utility gas services, continued to accelerate, driving the aggregate energy number up into inflationary territory.
- Powered by significantly easing base effects and a gradual realization of tariff impacts, core goods inflation accelerated +37 bps to +1.54% y/y, led by +58 bp acceleration in transportation commodities inflation of +2.58% y/y. In particular, used car values accelerated +125 bps to +6.04% y/y.
- Food inflation stepped up +32 bps to +3.19% y/y, driven by a +52 bp acceleration in the Food at Home category to +2.68% y/y. Five of six subcategories of Food at Home accelerated sequentially, with Meats (+7.3% y/y; +50 bps), Fruits & Vegetables (+1.9% y/y; +170 bps), and Coffee (+20.9% y/y; +640 bps) appearing as notable standouts within the components of the major subcategories.
- Shelter inflation of +3.63% y/y decelerated -4 bps sequentially, demonstrating an ongoing waning in the disinflationary pace of shelter.

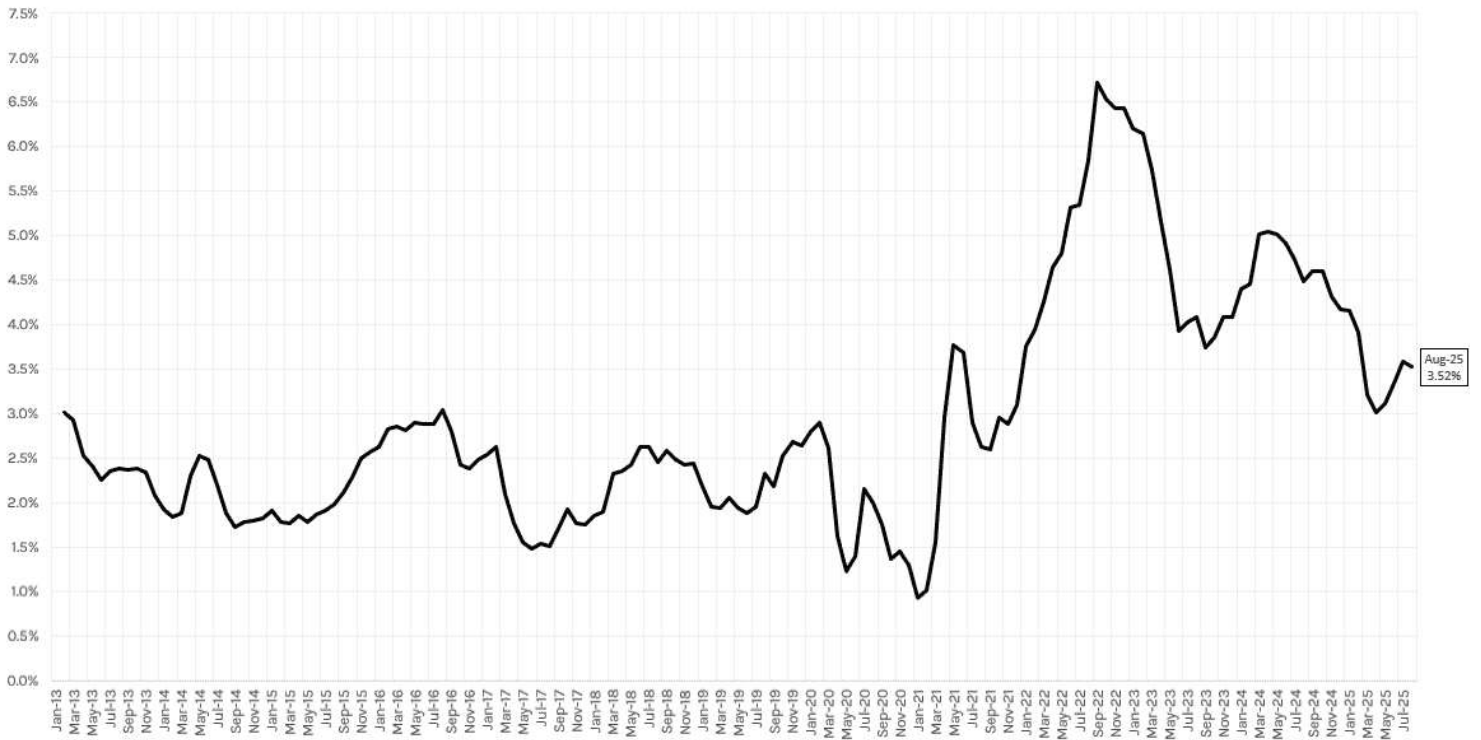
Headline CPI (NSA) %Y/Y

	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Relative Importance			Contribution
All Items	2.53%	2.44%	2.60%	2.75%	2.89%	3.00%	2.82%	2.39%	2.31%	2.35%	2.67%	2.70%	2.92%	Jul-25	Aug-25	ΔM/M	Aug-25
Core (Ex. Food & Energy)	3.20%	3.31%	3.33%	3.32%	3.24%	3.26%	3.12%	2.79%	2.78%	2.79%	2.93%	3.06%	3.11%	79.9	80.0	0.01	2.48%
Food	2.05%	2.27%	2.13%	2.38%	2.51%	2.50%	2.61%	2.96%	2.76%	2.88%	2.97%	2.87%	3.19%	13.6	13.6	0.01	0.43%
Food at Home	0.88%	1.26%	1.12%	1.57%	1.77%	1.93%	1.90%	2.42%	2.01%	2.23%	2.38%	2.16%	2.68%	8.0	8.0	0.01	0.22%
Food Away from Home	4.01%	3.95%	3.81%	3.65%	3.62%	3.38%	3.68%	3.79%	3.89%	3.85%	3.83%	3.91%	3.93%	5.7	5.7	0.00	0.21%
Energy	-3.98%	-6.85%	-4.86%	-3.18%	-0.52%	0.97%	-0.17%	-3.25%	-3.74%	-3.46%	-0.83%	-1.55%	0.22%	6.4	6.4	-0.02	0.02%
Energy Commodities	-10.12%	-15.29%	-12.40%	-8.49%	-3.87%	-0.47%	-3.18%	-9.50%	-11.51%	-11.58%	-7.95%	-8.96%	-6.22%	3.2	3.2	0.00	-0.23%
Fuel Oil and Other Fuels	-6.97%	-13.21%	-11.00%	-10.68%	-6.05%	-1.33%	-1.70%	-3.31%	-7.17%	-4.88%	-2.02%	-2.08%	-0.83%	0.1	0.1	0.00	0.00%
Motor fuel	-10.38%	-15.48%	-12.49%	-8.40%	-3.76%	-0.42%	-3.25%	-9.78%	-11.71%	-11.87%	-8.21%	-9.26%	-6.46%	3.0	3.0	0.00	-0.23%
Energy Services	3.06%	3.38%	4.00%	2.79%	3.26%	2.54%	3.26%	4.21%	6.18%	6.76%	7.55%	7.23%	7.72%	3.3	3.2	-0.02	0.24%
Electricity	3.91%	3.72%	4.52%	3.09%	2.80%	1.88%	2.46%	2.79%	3.61%	4.49%	5.82%	5.54%	6.19%	2.5	2.5	-0.01	0.15%
Utility (Piped) Gas Service	-0.12%	1.95%	2.02%	1.81%	4.92%	4.95%	6.00%	9.37%	15.68%	15.29%	14.18%	13.80%	13.82%	0.8	0.8	-0.01	0.09%
Core Goods (Ex. Food & Energy)	-1.86%	-0.96%	-1.00%	-0.58%	-0.53%	-0.13%	-0.12%	-0.10%	0.13%	0.28%	0.70%	1.17%	1.54%	19.3	19.3	0.02	0.28%
Household Furnishings & Supplies	-2.56%	-2.23%	-2.15%	-0.97%	-0.85%	-0.93%	-0.45%	-0.29%	0.27%	0.60%	1.72%	2.44%	2.80%	3.4	3.4	0.00	0.10%
Apparel	0.32%	1.79%	0.30%	1.13%	1.24%	0.40%	0.60%	0.33%	-0.72%	-0.91%	-0.52%	-0.21%	0.23%	2.5	2.5	0.05	0.01%
Transportation Commodities Less Motor Fuel	-4.39%	-2.30%	-1.66%	-1.41%	-1.21%	0.24%	0.14%	0.25%	0.79%	0.98%	1.24%	2.00%	2.58%	7.3	7.2	-0.01	0.15%
New Vehicles	-1.20%	-1.29%	-1.27%	-0.69%	-0.40%	-0.33%	-0.31%	-0.04%	0.31%	0.43%	0.25%	0.41%	0.66%	4.3	4.3	-0.01	0.02%
Used Cars and Trucks	-10.35%	-5.07%	-3.36%	-3.39%	-3.25%	1.03%	0.75%	0.58%	1.52%	1.80%	2.79%	4.79%	6.04%	2.4	2.4	0.00	0.11%
Motor Vehicle Parts & Equipment	-0.49%	1.86%	2.27%	1.55%	1.32%	1.44%	1.15%	1.18%	1.23%	1.70%	2.33%	2.86%	3.44%	0.4	0.4	0.00	0.02%
Medical Care Commodities	1.98%	1.59%	0.97%	0.38%	0.49%	2.29%	2.32%	1.00%	0.97%	0.28%	0.18%	0.08%	0.04%	1.5	1.5	-0.01	0.00%
Recreation Commodities	-0.91%	-1.51%	-1.67%	-1.54%	-1.48%	-1.90%	-2.37%	-2.27%	-1.85%	-1.30%	-0.83%	-0.10%	0.07%	1.8	1.8	0.00	0.00%
Education & Communication Commodities	-5.95%	-6.91%	-6.73%	-5.38%	-6.10%	-6.58%	-6.94%	-5.67%	-5.29%	-3.82%	-3.30%	-4.29%	-3.84%	0.7	0.7	0.00	-0.03%
Alcoholic Beverages	1.95%	1.46%	1.58%	1.77%	1.38%	1.39%	1.73%	1.90%	1.78%	1.51%	1.40%	1.40%	1.88%	0.8	0.8	0.00	0.02%
Other Goods (Tobacco / Smoking, Personal Care, Other)	3.18%	2.97%	2.40%	2.56%	2.72%	2.57%	2.72%	2.78%	3.22%	2.90%	3.04%	3.03%	3.15%	1.3	1.3	0.00	0.04%
Core Services (Ex. Energy)	4.93%	4.75%	4.77%	4.56%	4.41%	4.31%	4.11%	3.68%	3.59%	3.56%	3.62%	3.64%	3.59%	60.6	60.6	-0.01	2.20%
Shelter	5.23%	4.85%	4.88%	4.73%	4.57%	4.40%	4.25%	3.99%	3.99%	3.86%	3.80%	3.67%	3.63%	35.4	35.5	0.04	1.33%
Rent of Primary Residence	4.97%	4.78%	4.60%	4.36%	4.27%	4.24%	4.09%	3.99%	3.98%	3.81%	3.77%	3.55%	3.50%	7.5	7.5	0.00	0.27%
Lodging Away from Home	1.76%	-2.84%	-0.08%	3.67%	2.58%	2.22%	2.04%	-2.53%	-1.39%	-0.89%	-2.54%	-3.54%	-2.56%	1.4	1.4	0.00	-0.04%
Owners Equivalent Rent	5.38%	5.21%	5.19%	4.92%	4.80%	4.60%	4.43%	4.38%	4.31%	4.16%	4.15%	4.07%	3.98%	26.2	26.2	0.03	1.07%
Tenants and Household Insurance	3.63%	2.21%	2.51%	1.98%	1.72%	2.13%	3.04%	2.23%	2.58%	2.94%	4.85%	5.83%	5.71%	0.4	0.4	0.00	0.02%
Water, Sewer and Trash Collection Services	4.24%	4.75%	5.02%	5.23%	5.23%	4.43%	4.88%	4.93%	4.88%	5.20%	5.39%	5.34%	5.31%	1.1	1.1	0.00	0.06%
Medical Care Services	3.21%	3.63%	3.83%	3.70%	3.37%	2.71%	3.01%	3.02%	3.14%	2.98%	3.36%	4.30%	4.23%	6.8	6.8	-0.02	0.27%
Transportation Services	7.88%	8.53%	8.15%	7.06%	7.27%	8.05%	5.95%	3.10%	2.51%	2.81%	3.40%	3.53%	3.50%	6.3	6.2	-0.01	0.23%
Recreation Services	3.24%	2.23%	2.85%	3.51%	2.74%	3.83%	4.28%	4.28%	3.63%	3.68%	3.82%	3.89%	3.64%	3.5	3.4	-0.02	0.12%
Education & Communication Services	2.27%	2.32%	2.14%	1.78%	1.77%	1.71%	1.58%	1.60%	1.15%	0.99%	1.10%	1.11%	1.03%	4.9	4.9	0.00	0.05%
Other Personal Services	4.61%	4.07%	4.08%	4.17%	3.75%	2.25%	3.83%	4.71%	3.87%	4.60%	4.27%	4.54%	4.44%	1.7	1.7	0.00	0.07%

Data Source: BLS

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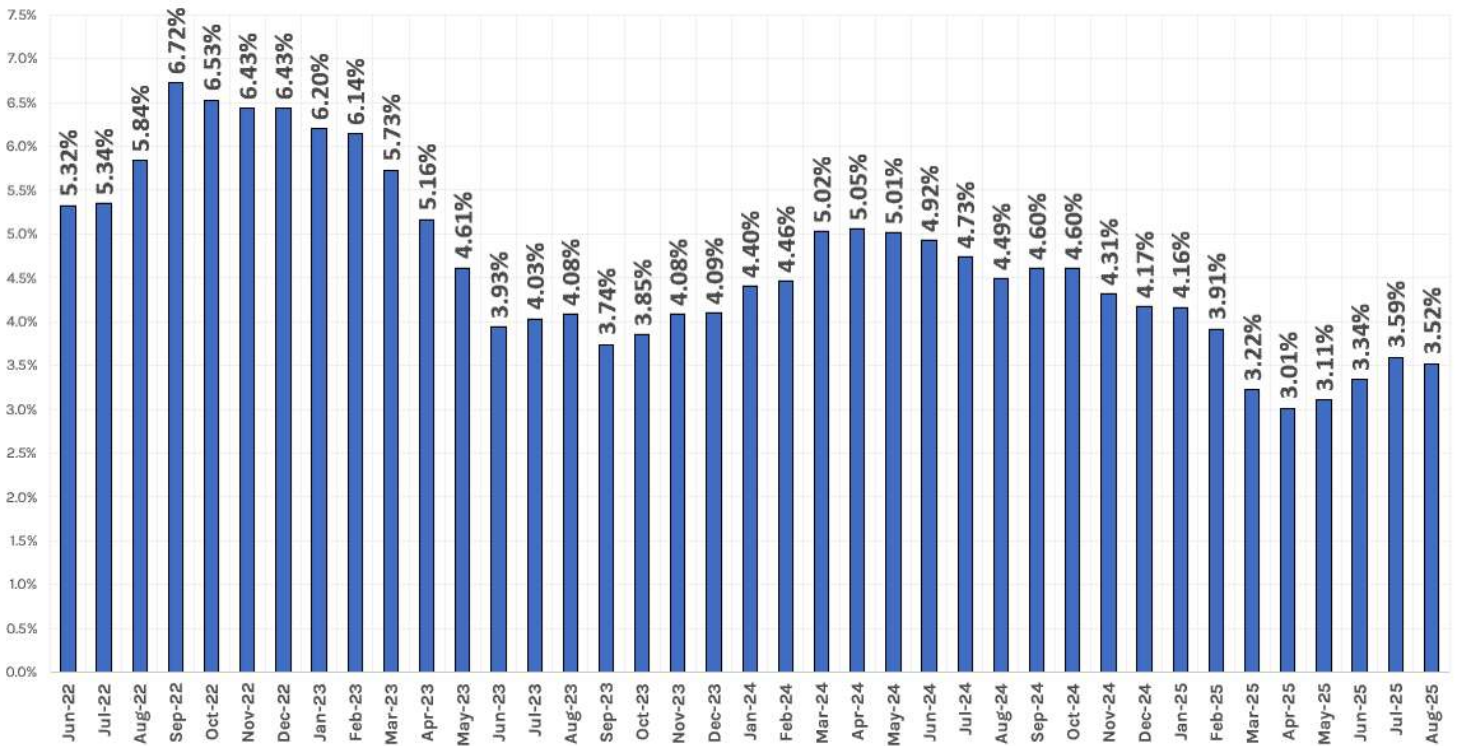
Core Services Ex. Shelter



Data Source: BLS

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Core Services Ex. Shelter



Data Source: BLS

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Headline CPI (SA) %M/M (Annualized)

	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Jul-25	Aug-25	ΔMM	Aug-25
All Items	2.16%	2.75%	2.72%	3.37%	4.38%	5.60%	2.59%	-0.60%	2.65%	0.97%	3.44%	2.36%	4.59%				
Core (Ex. Food & Energy)	3.41%	3.74%	3.19%	3.47%	2.52%	5.36%	2.72%	0.68%	2.84%	1.56%	2.74%	3.87%	4.15%	79.9	79.9	-0.03	3.32%
Food	1.82%	3.89%	2.54%	3.88%	3.47%	4.36%	1.97%	5.22%	-0.93%	3.42%	3.94%	0.54%	5.50%	13.6	13.6	0.01	0.75%
Food at Home	0.95%	3.77%	2.33%	4.22%	3.39%	5.52%	0.10%	5.82%	-5.30%	3.19%	3.35%	-1.42%	6.96%	8.0	8.0	0.02	0.56%
Food Away from Home	3.13%	4.07%	2.95%	3.36%	3.58%	2.84%	4.66%	4.37%	5.32%	3.75%	4.79%	3.32%	3.44%	5.7	5.6	-0.01	0.18%
Energy	-11.93%	-11.42%	-2.67%	1.03%	28.99%	12.99%	2.35%	-28.67%	8.01%	-11.70%	11.35%	-12.81%	8.25%	6.4	6.4	0.02	0.53%
Energy Commodities	-15.33%	-27.36%	-12.92%	2.81%	47.19%	23.30%	-10.62%	-73.01%	-2.65%	-29.06%	12.43%	-22.61%	20.17%	3.2	3.2	0.04	0.64%
Fuel Oil and Other Fuels	-27.84%	-29.47%	-24.96%	3.87%	30.45%	49.57%	-2.71%	-35.75%	-30.92%	21.91%	12.08%	12.13%	-12.87%	0.1	0.1	0.00	-0.02%
Motor Fuel	-14.75%	-27.26%	-12.37%	2.77%	47.95%	22.01%	-10.97%	-74.66%	-1.36%	-31.33%	12.44%	-24.23%	21.77%	3.0	3.1	0.04	0.66%
Energy Services	-9.55%	5.25%	-4.58%	-6.08%	9.81%	21.72%	9.25%	11.08%	7.09%	10.14%	34.55%	-3.97%	-4.04%	3.3	3.2	-0.02	-0.13%
Electricity	-4.96%	6.50%	9.46%	-2.71%	2.36%	-0.46%	12.25%	11.26%	10.19%	10.79%	11.63%	-1.31%	2.42%	2.5	2.5	0.00	0.06%
Utility (Piped) Gas Service	-19.35%	8.05%	5.97%	5.75%	33.87%	21.49%	30.46%	42.88%	44.38%	-11.52%	6.36%	-10.30%	-19.16%	0.8	0.8	-0.02	-0.15%
Core Goods (Ex. Food & Energy)	-1.41%	2.01%	0.28%	2.51%	-0.47%	3.42%	2.62%	-1.10%	0.75%	-0.48%	2.37%	2.51%	3.32%	19.3	19.3	-0.02	0.64%
Household Furnishings & Supplies	-3.12%	0.48%	-0.19%	7.34%	-2.66%	-2.19%	2.26%	0.25%	2.65%	4.10%	11.74%	8.44%	1.09%	3.4	3.4	-0.01	0.04%
Apparel	1.21%	11.90%	-10.66%	0.98%	1.57%	-16.60%	7.15%	4.40%	-2.37%	-5.10%	5.16%	0.84%	6.03%	2.5	2.5	0.00	0.15%
Transportation Commodities Less Motor Fuel	-0.41%	3.59%	4.44%	7.67%	5.56%	9.62%	2.69%	-2.13%	-2.15%	-3.65%	-4.61%	2.64%	6.46%	7.3	7.3	0.01	0.47%
New Vehicles	0.37%	1.53%	-0.24%	5.64%	4.36%	0.42%	-0.89%	1.16%	-0.10%	-3.50%	-4.03%	0.21%	3.32%	4.3	4.3	0.00	0.14%
Used Cars and Trucks	-1.86%	6.06%	14.57%	15.53%	9.13%	26.31%	10.57%	-8.24%	-6.39%	-6.52%	-8.07%	5.76%	12.45%	2.4	2.5	0.02	0.30%
Motor Vehicle Parts & Equipment	-0.13%	10.29%	0.80%	-7.75%	1.08%	9.48%	-5.67%	-1.52%	-1.19%	11.18%	7.24%	10.25%	6.70%	0.4	0.4	0.00	0.02%
Medical Care Commodities	-2.66%	-8.15%	-2.30%	-1.42%	-0.13%	14.06%	1.40%	-13.52%	4.98%	7.06%	1.23%	0.65%	-3.10%	1.5	1.5	-0.01	-0.05%
Recreation Commodities	-1.89%	-4.25%	-0.44%	-1.76%	-5.40%	3.80%	-8.24%	-3.82%	4.96%	4.95%	9.30%	5.13%	-0.17%	1.8	1.8	-0.01	0.00%
Education & Communication Commodities	-8.78%	-7.36%	-3.22%	-10.32%	-15.95%	0.86%	-1.85%	5.42%	3.62%	0.72%	-0.18%	-15.45%	-3.52%	0.7	0.7	0.00	-0.03%
Alcoholic Beverages	1.42%	1.03%	4.89%	-0.16%	-4.09%	3.86%	5.90%	2.59%	0.13%	-1.64%	1.65%	1.19%	7.04%	0.8	0.8	0.00	0.06%
Other Goods (Tobacco / Smoking, Personal Care)	2.86%	2.78%	4.42%	2.94%	-5.12%	2.67%	10.07%	3.15%	3.93%	1.92%	3.91%	2.41%	4.36%	1.3	1.3	0.00	0.06%
Core Services (Ex. Energy)	4.61%	4.36%	4.05%	3.47%	3.15%	6.17%	3.02%	1.28%	3.47%	2.06%	3.04%	4.38%	4.19%	60.6	60.6	-0.02	2.54%
Shelter	5.77%	3.19%	4.69%	4.06%	3.28%	4.49%	3.39%	2.67%	4.02%	3.06%	2.11%	2.80%	5.25%	35.4	35.5	0.02	1.86%
Rent of Primary Residence	4.19%	3.51%	3.64%	2.98%	3.58%	4.16%	3.38%	3.99%	4.10%	2.56%	2.72%	3.07%	3.60%	7.5	7.4	-0.01	0.27%
Lodging Away from Home	15.74%	-13.00%	4.39%	31.15%	-6.09%	17.14%	2.17%	-42.45%	-1.22%	-0.90%	-34.64%	-12.24%	27.48%	1.4	1.4	0.03	0.37%
Owners Equivalent Rent	5.64%	4.09%	4.95%	3.02%	3.74%	3.76%	3.37%	4.82%	4.28%	3.30%	3.64%	3.33%	4.58%	26.2	26.2	0.00	1.20%
Tenants and Household Insurance	9.16%	-6.07%	8.58%	-0.38%	0.01%	12.74%	9.37%	-3.36%	3.26%	9.69%	13.71%	11.68%	7.75%	0.4	0.4	0.00	0.03%
Water, Sewer and Trash Collection Services	4.79%	7.15%	4.79%	6.58%	0.85%	7.81%	12.01%	2.23%	3.42%	2.92%	4.81%	5.28%	4.37%	1.1	1.1	0.00	0.05%
Medical Care Services	-0.84%	7.42%	3.99%	3.74%	1.94%	0.27%	3.71%	6.09%	6.10%	2.11%	6.70%	9.44%	-1.66%	6.8	6.7	-0.04	-0.11%
Transportation Services	9.91%	14.58%	4.34%	1.42%	5.54%	22.11%	-9.77%	-16.97%	1.74%	-2.45%	1.87%	9.38%	12.07%	6.3	6.3	0.04	0.76%
Recreation Services	0.89%	-4.05%	7.75%	8.67%	3.09%	16.41%	9.68%	0.63%	-3.46%	-1.19%	2.72%	4.91%	-1.86%	3.5	3.4	-0.02	-0.06%
Education & Communication Services	2.04%	0.53%	-1.68%	-2.62%	2.34%	4.04%	3.69%	2.90%	-2.35%	1.03%	1.42%	2.11%	0.80%	4.9	4.9	-0.02	0.04%
Other Personal Services	2.04%	0.53%	-1.68%	-2.62%	2.34%	4.04%	3.69%	2.90%	-2.35%	1.03%	1.42%	2.11%	0.80%	1.7	1.7	-0.01	0.01%

Headline CPI (SA) 3-Month Average (%M/M, Annualized)

	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Jul-25	Aug-25	ΔM/M	Aug-25
All Items	1.26%	2.19%	2.54%	2.94%	3.49%	4.45%	4.19%	2.53%	1.55%	1.01%	2.35%	2.26%	3.46%				
Core (Ex. Food & Energy)	2.24%	3.12%	3.45%	3.47%	3.06%	3.78%	3.53%	2.92%	2.08%	1.69%	2.38%	2.72%	3.59%	79.9	80.0	0.01	2.87%
Food	2.16%	2.50%	2.75%	3.44%	3.30%	3.90%	3.27%	3.85%	2.09%	2.57%	2.14%	2.64%	3.33%	13.6	13.6	0.00	0.45%
Food at Home	1.25%	2.01%	2.35%	3.44%	3.32%	4.38%	3.00%	3.81%	0.21%	1.24%	0.41%	1.71%	2.96%	8.0	8.0	0.00	0.24%
Food Away from Home	3.53%	3.23%	3.35%	3.43%	3.26%	3.26%	3.70%	3.96%	4.78%	4.48%	4.62%	3.95%	3.85%	5.6	5.6	0.00	0.22%
Energy	-11.94%	-9.49%	-8.68%	-4.35%	9.12%	14.34%	14.78%	-4.44%	-6.10%	-10.79%	2.55%	-4.39%	2.27%	6.4	6.4	-0.01	0.14%
Energy Commodities	-20.09%	-17.43%	-18.54%	-12.49%	12.36%	24.44%	19.96%	-20.11%	-28.76%	-34.91%	-6.43%	-13.08%	3.33%	3.2	3.2	0.00	0.11%
Fuel Oil and Other Fuels	-12.74%	-14.80%	-27.42%	-16.85%	3.12%	27.96%	25.77%	3.71%	-23.12%	-14.92%	1.02%	15.37%	3.78%	0.1	0.1	0.00	0.00%
Motor fuel	-20.42%	-17.55%	-18.13%	-12.29%	12.78%	24.24%	19.66%	-21.20%	-29.00%	-35.78%	-6.75%	-14.37%	3.33%	3.0	3.0	0.00	0.10%
Energy Services	5.19%	-1.58%	-2.96%	-1.80%	-0.28%	8.48%	13.59%	14.02%	9.14%	9.44%	17.26%	13.57%	8.85%	3.2	3.3	0.01	0.28%
Electricity	-2.20%	1.14%	3.67%	4.42%	3.04%	-0.27%	4.71%	7.68%	11.23%	10.74%	10.87%	7.04%	4.25%	2.5	2.5	0.00	0.10%
Utility (Piped) Gas Service	-2.52%	-5.89%	-1.78%	6.59%	15.20%	20.37%	28.61%	31.61%	39.25%	25.25%	13.08%	-5.15%	-7.70%	0.8	0.8	-0.01	-0.06%
Core Goods (Ex. Food & Energy)	-2.10%	-0.74%	0.29%	1.60%	0.77%	1.82%	1.86%	1.65%	0.76%	-0.28%	0.88%	1.47%	2.73%	19.3	19.3	-0.01	0.53%
Household Furnishings & Supplies	-1.61%	-0.90%	-0.94%	2.54%	1.50%	0.83%	-0.86%	0.11%	1.72%	2.33%	6.16%	8.09%	7.09%	3.4	3.4	0.01	0.24%
Apparel	-0.71%	3.31%	0.82%	0.74%	-2.70%	-4.68%	-2.63%	-1.69%	3.06%	-1.02%	-0.77%	0.30%	4.01%	2.5	2.5	0.00	0.10%
Transportation Commodities Less Motor Fuel	-4.63%	-1.00%	2.54%	5.23%	5.89%	7.62%	5.95%	3.39%	-0.53%	-2.64%	-3.47%	-1.87%	1.50%	7.2	7.2	-0.01	0.11%
New Vehicles	-1.06%	0.06%	0.56%	2.31%	3.25%	3.47%	1.30%	0.23%	0.06%	-0.81%	-2.54%	-2.44%	-0.17%	4.3	4.3	-0.01	-0.01%
Used Cars and Trucks	-12.90%	-4.36%	6.25%	12.05%	13.07%	16.99%	15.34%	9.54%	-1.35%	-7.05%	-6.99%	-2.94%	3.38%	2.4	2.4	0.00	0.08%
Motor Vehicle Parts & Equipment	1.25%	4.73%	3.66%	1.11%	-1.95%	0.94%	1.63%	0.76%	-2.79%	2.82%	5.74%	9.56%	8.06%	0.4	0.4	0.00	0.03%
Medical Care Commodities	0.52%	-2.98%	-4.37%	-3.96%	-1.28%	4.17%	5.11%	0.65%	-2.38%	-0.49%	4.42%	2.98%	-0.41%	1.5	1.5	0.00	-0.01%
Recreation Commodities	-0.87%	-3.34%	-2.19%	-3.15%	-3.54%	-2.12%	-3.28%	-2.76%	-2.37%	2.03%	6.40%	6.46%	4.75%	1.8	1.8	0.00	0.09%
Education & Communication Commodities	-6.07%	-6.30%	-6.45%	-6.96%	-9.83%	-8.47%	-5.65%	1.48%	2.40%	3.25%	1.39%	-4.97%	-6.38%	0.7	0.7	-0.01	-0.05%
Alcoholic Beverages	1.84%	1.18%	2.45%	1.92%	0.21%	-0.13%	1.89%	4.12%	2.88%	0.36%	0.05%	0.40%	3.29%	0.8	0.8	0.00	0.03%
Other Goods (Tobacco / Smoking, Personal Care)	2.52%	2.70%	3.35%	3.38%	0.75%	0.16%	2.54%	5.30%	5.72%	3.00%	3.25%	2.75%	3.56%	1.3	1.3	0.00	0.05%
Core Services (Ex. Energy)	3.57%	4.27%	4.34%	3.96%	3.56%	4.26%	4.11%	3.49%	2.59%	2.27%	2.86%	3.16%	3.87%	60.6	60.7	0.02	2.35%
Shelter	4.28%	4.44%	4.55%	3.98%	4.01%	3.94%	3.72%	3.52%	3.36%	3.25%	3.06%	2.66%	3.39%	35.4	35.4	0.00	1.20%
Rent of Primary Residence	4.36%	4.45%	3.78%	3.38%	3.40%	3.57%	3.70%	3.84%	3.82%	3.55%	3.13%	2.78%	3.13%	7.5	7.4	0.00	0.23%
Lodging Away from Home	0.16%	0.95%	2.38%	7.51%	9.82%	14.07%	4.41%	-7.71%	-13.83%	-14.86%	-12.25%	-15.93%	-6.47%	1.4	1.4	-0.01	-0.10%
Owners Equivalent Rent	4.54%	4.67%	4.89%	4.02%	3.90%	3.51%	3.62%	3.98%	4.16%	4.13%	3.74%	3.43%	3.85%	26.2	26.2	0.01	1.01%
Tenants and Household Insurance	0.42%	1.17%	3.89%	0.71%	2.73%	4.12%	7.37%	6.25%	3.09%	3.20%	8.89%	11.69%	11.05%	0.4	0.4	0.00	0.05%
Water, Sewer and Trash Collection Services	4.42%	5.91%	5.58%	6.17%	4.07%	5.08%	6.89%	7.35%	5.89%	2.85%	3.72%	4.34%	4.82%	1.1	1.1	0.00	0.05%
Medical Care Services	0.00%	1.72%	3.52%	5.05%	3.22%	1.98%	1.97%	3.36%	5.30%	4.77%	4.97%	6.08%	4.83%	6.8	6.8	0.01	0.33%
Transportation Services	3.12%	9.79%	9.61%	6.78%	3.77%	9.69%	5.96%	-1.51%	-8.30%	-5.86%	0.39%	2.93%	7.78%	6.3	6.3	0.02	0.49%
Recreation Services	1.99%	0.28%	1.53%	4.12%	6.50%	9.39%	9.73%	8.91%	2.28%	-1.34%	-0.65%	2.15%	1.92%	3.5	3.4	0.00	0.07%
Education & Communication Services	1.39%	1.51%	0.29%	-1.26%	-0.65%	1.26%	3.36%	3.54%	1.42%	0.53%	0.03%	1.52%	1.44%	4.9	4.9	-0.01	0.07%
Other Personal Services	1.39%	1.51%	0.29%	-1.26%	-0.65%	1.26%	3.36%	3.54%	1.42%	0.53%	0.03%	1.52%	1.44%	1.7	1.7	0.00	0.02%

Our expectation for a broader reflationary trend persisting through November continues to be driven by a waning deflationary impulse from energy commodities and a baseline expectation for accelerating core goods inflation amplified by delayed tariff impacts.

Hedgeye Monthly Inflation Nowcast (Headline CPI YoY)

HEDGEYE

Reinflationary momentum is expected to further strengthen in September.



Data Source: BLS, Hedgeye Estimates

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September CPI Release Date: October 15th

Our monthly inflation nowcast is a weekly publication which augments our existing quarterly nowcast by offering a closer look at likely trajectory of the front month Headline CPI number.

As always, our process is rate-of-change centric and we have thus built our monthly inflation nowcast with a directional accuracy of 90% - this is the "hit rate" with which it correctly predicts the sign of the second derivative of the Headline CPI index, that is whether inflation is accelerating or decelerating in a given month.

In addition, we employ a multi-scenario outlook (i.e. base case, upside, and downside estimates) to span the probabilistic range of inflation in a given month.

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